COT & Midterm Context: NQ, Silver and the Rest

Prepared Fri Oct 30, 2026 (after the close) | Midterm election Tue Nov 3, 2026 | COT data: week ending Oct 27

Bottom line

- **Your rule (dashboard) says no COT edge on NQ, silver or gold this week.** The only index/metal-adjacent setup is BTC: Bearish (Commercials 12 vs hedge funds 100). EUR, GBP, NZD, crude and natgas show Bullish setups.
- **History says sharp NQ drops like this one usually see one more leg lower inside 4 weeks, then recover.** In 21 similar cases since 2007, 20 made a lower low within 20 trading days (median another -5.6%), but NQ was higher 60 days later in 16 of 21.
- **The closest analog is 2018, Trump's first midterm.** NQ was down about 6.5% from its high on election day after an October selloff. It fell another 19% into Christmas Eve, then was up 12% a year after the election.
- **After every midterm since 2006, NQ, ES and gold were higher a year later, and silver and gold were higher 60 days later.** That's 5 cases, so treat it as a tailwind, not a signal.
- **Silver is the closest asset to a Bullish COT setup.** Hedge funds (Managed Money) are at index 0, the bottom of their range. Commercials are at 62 and need 80. Watch next Friday's report.

1. WHERE THINGS STAND (VERIFIED PRICES, OANDA DAILY CLOSES)

Asset	Fri close	1 day	2 days	All-time high	Off ATH
NQ (NAS100)	28,410	-2.3%	-4.1%	31,401 (Oct 5, 2026)	-9.5%
ES (SPX500)	7,587	-1.3%	-1.9%	7,853 (Oct 5, 2026)	-3.4%
Gold	3,876	-3.6%	-4.7%	5,602 (Jan 28, 2026)	-30.8%
Silver	49.13	-5.8%	-9.0%	121.67 (Jan 28, 2026)	-59.6%
BTC	76,790	-2.5%	-5.5%	126,307 (Oct 2025)	-39.2%

NQ's high-to-low swing over the last two sessions was about 6.4% (30,045 on Tue to 28,111 on Fri); close to close it was 4.1%. Silver's Friday high-to-low was about 6.5%; close to close 5.8%. OANDA CFD closes at 5 PM ET, so they differ slightly from futures settlements.

Dashboard COT reads (your rule, governs the lean)

Asset	Commercial	Hedge funds	Non-Comm	Retail	Your rule	What would trigger a setup
NQ	28	86	69	75	No COT edge	Commercials to 20 or below = Bearish setup (others already 75-86)
ES	37	42	53	85	No COT edge	Commercials to 20 or below = Bearish setup (Retail at 85)
Gold	41	20	57	54	No COT edge	Commercials to 80+ = Bullish setup (hedge funds already at 20)
Silver	62	0	36	48	No COT edge	Commercials to 80+ = Bullish setup (hedge funds already at 0)
BTC	12	100	86	19	**Bearish setup**	Already on
US30	38	93	55	68	No COT edge	Commercials to 20 or below

Also on the dashboard this week: Bullish setups in EUR (C 90), GBP (C 88), NZD (C 91), Crude (C 93), NatGas (C 100); no edge in JPY, USD, VIX.

Two COT views disagree on NQ and silver. The historical tables below use the CFTC Legacy report with a 70-week index, the only report that goes back to 1999 for all four markets. On that method, today reads NQ **Bearish setup** (Commercial 7, Non-Comm 90) and silver **Bullish setup** (Commercial 100, Non-Comm 0). Your chart panel shows the same NQ picture (Commercial 19). Per your call, the dashboard decides the lean; the Legacy view is context only. Both views agree BTC is a Bearish setup.

2. COT READS AND PRICE ACTION AT EVERY MIDTERM SINCE 2002

COT = Legacy report dated the Tuesday before the election (what traders knew on election day), 70-week index. Returns are from election-day close, in trading days. "Max dip 20d" = deepest low in the next 20 trading days vs the election-day close.

NQ (Nasdaq-100)

Midterm	President	COT C / Spec / Retail	Rule	Prior 20d	+5d	+20d	+60d	+1 yr	Max dip 20d
Nov 5, 2002	Bush (R)	99 / 10 / 26	Bullish					no price data before 2003	
Nov 7, 2006	Bush (R)	8 / 55 / 100	Bearish	+3.8	+2.1	+2.4	+2.3	+24.8	-1.2
Nov 2, 2010	Obama (D)	12 / 87 / 49	Bearish	+7.9	+0.1	-0.3	+7.1	+7.9	-3.8
Nov 4, 2014	Obama (D)	86 / 22 / 40	No edge	+2.6	+1.2	+4.0	0.0	+11.4	-0.3
Nov 6, 2018	**Trump (R)**	63 / 43 / 31	No edge	+3.1	-6.0	-4.9	-4.7	+12.4	-10.5
Nov 8, 2022	Biden (D)	92 / 11 / 42	Bullish	+0.1	+8.6	+6.3	+16.2	+31.3	-0.4

Silver

Midterm	President	COT C / Spec / Retail	Rule	Prior 20d	+5d	+20d	+60d	+1 yr	Max dip 20d
Nov 5, 2002	Bush (R)	82 / 9 / 70	Bullish					no price data before 2006	
Nov 7, 2006	Bush (R)	74 / 30 / 20	No edge	+10.8	+3.8	+12.7	+7.1	+7.7	0.0
Nov 2, 2010	Obama (D)	25 / 67 / 69	No edge	+7.1	+8.3	+7.4	+15.4	+62.3	-0.4
Nov 4, 2014	Obama (D)	86 / 11 / 49	Bullish	-11.7	+2.3	+7.0	+12.4	+3.2	-6.6
Nov 6, 2018	**Trump (R)**	75 / 20 / 82	No edge	+1.9	-3.0	-0.5	+10.2	+21.7	-4.6
Nov 8, 2022	Biden (D)	79 / 22 / 19	No edge	+10.7	+1.9	+7.9	+6.1	+10.7	-2.3

ES, gold and BTC at a glance (+60 days / +1 year after the election)

Midterm	ES COT C	ES +60d / +1yr	Gold COT C	Gold +60d / +1yr	BTC COT C	BTC +60d / +1yr
2006 Bush	0 (Bearish)	+4.3 / +10.7	91 (Bullish)	+4.9 / +20.6	n/a	n/a
2010 Obama	90 (Bullish)	+8.1 / +3.2	20 (No edge)	+1.6 / +17.8	n/a	n/a
2014 Obama	61	-1.4 / +2.4	46	+12.6 / +2.2	n/a	n/a
2018 Trump	45	-3.9 / +7.8	81 (Bullish)	+7.6 / +21.7	2 (Bearish)	-47.0 / +14.7
2022 Biden	74	+10.3 / +9.8	95 (Bullish)	+9.3 / +17.0	64	+47.9 / +115.6

What the midterm history says

- **Post-midterm strength is real but small-sample.** NQ, ES and gold were higher one year after all 5 midterms with price data; silver and gold were higher 60 days after all 5.
- **COT Bearish setups on NQ/ES at midterms didn't pay.** NQ was a Bearish setup in 2006 and 2010 and ES in 2006, and all three were higher 60 days and a year later. The seasonal tailwind overpowered the positioning read. That's another reason not to force a bearish NQ lean from the Legacy view right now.
- **COT Bullish setups at midterms did pay.** NQ 2022 (+16% in 60 days), gold 2006, 2018 and 2022 (all up 5-9% in 60 days), silver 2014 (+12%).
- **2018 is the exception, and it's the Trump analog.** An October selloff, a bounce into the vote, then a second leg: NQ fell from 7,200 on election day to 5,802 on Christmas Eve (-19.4%, -24.7% from the high), ES -17.7%. Metals barely dipped (silver -4.6%, gold -2.5%) and were up 10% and 8% two months later. BTC, a Bearish setup that week, lost 47% in 60 days.

3. COT POSITIONING BY PRESIDENCY (LEGACY REPORT)

Term	NQ spec % OI	NQ price	ES price	Gold spec % OI	Gold price	Silver spec % OI	Silver price	Silver Bullish-setup weeks
Bush (R) 2001-09	-1.0	n/a	n/a	25.3	n/a	28.9	n/a	22%
Obama (D) 2009-17	15.4	+324%	+170%	31.9	+42%	21.1	+51%	20%
Trump 1st (R) 2017-21	8.7	+165%	+70%	32.6	+54%	18.4	+52%	20%
Biden (D) 2021-25	3.0	+61%	+57%	37.9	+47%	20.4	+19%	20%
Trump 2nd (R) 2025-now	8.0	+31%	+25%	**47.4**	+41%	26.4	+59%	**57%**

Spec % OI = average Non-Commercial net position as a share of open interest over the term. Price = term change (Trump 2nd through Oct 30, 2026). Setup weeks use your 80/20 rule on the Legacy 70-week index.

- **Gold speculators have been more crowded long under Trump's second term than under any other president** (47% of open interest on average vs 25-38% before). That crowding is what's unwinding now: gold is off 31% from January's high.
- **Silver has spent 57% of this term in a Legacy Bullish setup**, versus about 20% in every prior term, yet it's down 60% from its January peak. Commercials have been leaning long into a falling market for months. That's a reminder that a COT setup is a lean for v7 signals, not a timing tool.
- **NQ positioning is ordinary for a Trump term** (8% vs 8.7% in the first term). The crowding in NQ is concentrated in hedge funds (dashboard 86) and retail (75), not in the broad speculator group.
- Party or president, on its own, doesn't predict COT direction in this data. Every term had both setups. The useful part is the midterm calendar and the size of the current unwinds.

4. WHAT SHARP DROPS LIKE THIS HAVE LED TO

NQ: 2-day drop of 4%+ while 7-15% below the all-time high (21 cases, 2007-2026)

Horizon	Median	Average	Higher	Notes
+5 days	+0.5%	+0.5%	12 / 21	Coin flip through election week
+20 days	+3.0%	+1.7%	13 / 21	
+60 days	+6.7%	+5.4%	16 / 21	Losers: Nov 2007, Jan 2008, Oct 2018, Jan & Apr 2022 (bear markets)
Max dip next 20d	-5.6%	-6.4%	1 / 21 no new low	From 28,410, -5.6% is about 26,820, just under the 27,200 late-July low

Closest cases: **Oct 9, 2018** (Trump midterm, -9.4% off ATH): bounced 4.5% in a week, then -8% at 60 days. **Nov 11, 2018**, a week after that election: -1.9% at 20 days. **Mar 26, 2026**, this year's last one: +18% at 20 days.

Silver: 1-day drop of 5%+ while 40%+ below the all-time high (29 cases, 2008-2026)

Horizon	Median	Average	Higher	Notes
+5 days	+1.9%	+2.1%	19 / 29	Short bounce is the most common result
+20 days	+3.7%	+3.1%	17 / 28	
+60 days	+2.6%	+4.0%	15 / 27	Close to a coin flip
Max dip next 20d	-7.0%	-8.6%	0 / 29 no new low	Every case made a lower low; -7% from 49.13 is about 45.70

2026 is a falling market for silver. This year's earlier drops of this kind (Jun 4, Sep 9, Oct 13) saw further lows of 8-18% within 20 days, and the Jun and Sep cases were still lower 20 days later. Bounces have been sold all year, so the long-run averages above probably flatter the current setup.

5. DAYS AND WEEKS AHEAD

When	NQ	Silver
Mon-Tue Nov 2-3 (trade plan window,	No COT edge; trade v7 on its own. History is a coin flip for the next 5 days. Election-night gaps are possible.	No COT edge. A short bounce is the most common 5-day result, but every analog made a lower low within 4 weeks.

election day)		
Fri Nov 6 (COT for Nov 3, election day)	Key check: if dashboard Commercials drop to 20 or below with hedge funds/retail still 75+, NQ becomes a Bearish setup.	Key check: if Commercials rise to 80+ with hedge funds still near 0, silver becomes a Bullish setup.
Next 2-4 weeks	Base case from history: one more push lower (median -5.6%, around 26,800-27,200), then recovery. 2018 path (another -19%) is the bad case.	Base case: lower low first (around 45-46), then 60-day odds near even. Midterm history (5/5 up at 60 days) is the tailwind; 2026's downtrend is the headwind.
Into year-end	60 days later NQ was up in 16 of 21 drop cases and all 5 midterms. Losers were bear markets.	Gold and silver were up 60 days after all 5 midterms; gold COT Bullish setups at midterms all worked.

> **Limits.** Midterm samples are 5-6 elections, and the drop studies overlap with each other and with crises (2008, 2020, 2022). The Legacy 70-week index here is not the dashboard's calculation, which is why the Commercial numbers differ (NQ 7 vs 28, silver 100 vs 62). The dashboard governs the lean. This is historical context for your own rules, not a forecast or advice to trade.

Sources: CFTC Legacy Futures-Only COT (publicreporting.cftc.gov, NQ 209742, ES 13874A, gold 088691, silver 084691, BTC 133741), dashboard values from COT_Breakdown_2026-10-27.pdf, OANDA daily mid closes (NAS100, SPX500, XAU, XAG, BTC). Scripts: scratchpad midterm\fetch.py and analyze.py.